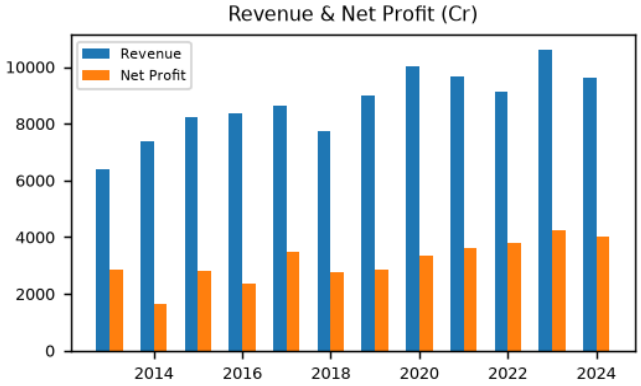
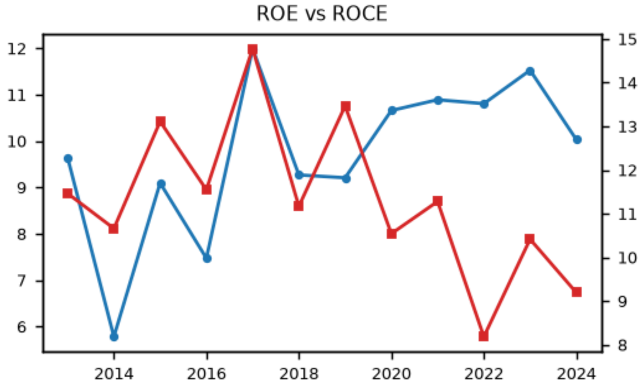
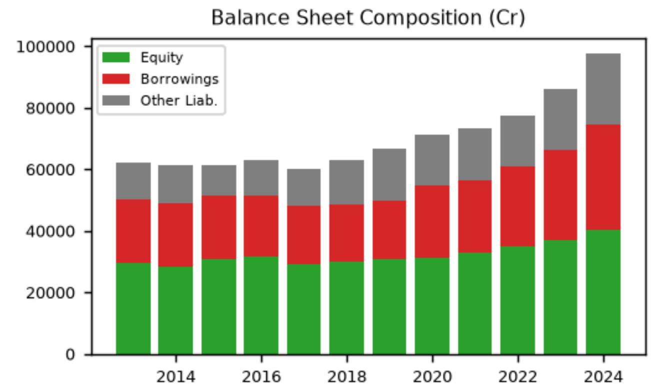
NHPC Ltd (NHPC)

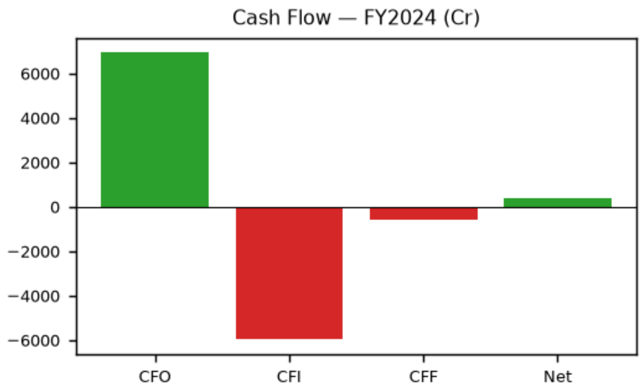
Energy · Fiscal Year 2024

ROE 10.0%	**ROCE** 9.2%	**Net Profit Margin** 41.8%
D/E 0.9	**Revenue CAGR 5yr** 1.4%	**FCF (Cr)** 970









Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Shareholder Returns